

Income-tax Questions

Latest Income-tax MCQ Objective Questions

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Question 1:

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From the following details calculate the taxable income of 'A' assuming that he is a 'Not Ordinarily Resident'

- Received Rs. 1,000 in India, which accrued in England
- Rs. 6,000 was untaxed foreign income of some earlier years which was brought to India during previous year
- Rs. 2,000 earned in India but received in England
- Rs. 10,000 earned and received in Africa but brought to India

1. Rs. 19,000

2. Rs. 12,000

3. Rs. 9,000

4. Rs. 3,000

Answer (Detailed Solution Below)

Option 3 : Rs. 9,000



Income-tax Question 1 Detailed Solution

The correct answer is - Option 3: Rs. 9,000

Key Points

- **Not Ordinarily Resident (NOR)**
 - For a person categorized as **Not Ordinarily Resident**, only the **income earned or received in India** is taxable.
 - **Foreign income** accrued or earned outside India is **not taxable** unless it is directly received in India.
- **Detailed Calculation**
 - **Income Components:**
 - **Rs. 1,000 received in India (accrued in England):** Taxable as it is received in India.
 - **Rs. 6,000 untaxed foreign income brought to India:** Not taxable as it pertains to earlier years.
 - **Rs. 2,000 earned in India but received in England:** Taxable as it is earned in India.
 - **Rs. 10,000 earned and received in Africa (brought to India):** Not taxable as it was earned and received outside India.
 - **Taxable Income:**
 - **Rs. 1,000 (received in India) + Rs. 2,000 (earned in India) = Total Taxable Income = Rs. 9,000.**

Additional Information

- **Income Tax Rules for NOR**
 - An individual is considered **Not Ordinarily Resident** if they satisfy specific residency criteria as per the Income Tax Act.
 - **Residency Criteria:**
 - They have been a resident in India for **at least 2 out of the last 10 years** preceding the relevant financial year.
 - They have been in India for **730 days or less** during the last 7 years preceding the relevant financial year.
- **Taxability Rules for Foreign Income**
 - **Received in India:** Foreign income received directly in India is taxable.
 - **Earned Outside India:** Income earned and received outside India is not taxable for NOR individuals unless it is related to a business or profession controlled from India.
 - **Brought to India:** Income brought into India from earlier years is not taxable.

- **Objective Exam Guidance**

- Focus on understanding the residency classification (Resident, NOR, Non-Resident) and its impact on taxability.
- Analyze each income component based on its source, place of accrual, and place of receipt.

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Question 2:

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The scheme of partial integration of tax or non-agricultural income with income derived from agricultural is applicable if an individual has:

1. Non-Agricultural income of more than the exemption limit or agricultural income exceeding ₹5000
2. Non-Agricultural income of more than the exemption limit or agricultural income exceeding ₹2500
3. Non-Agricultural income of more than the exemption limit and agricultural income exceeding ₹2500
4. Non-Agricultural income of more than the exemption limit and agricultural income exceeding ₹5000

Answer (Detailed Solution Below)

Option 4 : Non-Agricultural income of more than the exemption limit and agricultural income exceeding ₹5000

Income-tax Question 2 Detailed Solution

The correct answer is - Non-Agricultural income of more than the exemption limit and agricultural income exceeding ₹5000

Key Points

- **Partial integration of income**

- The scheme of partial integration is applicable only when an individual has both **non-agricultural income** exceeding the exemption limit and **agricultural income** exceeding ₹5000.
- This integration ensures that the taxation of non-agricultural income takes into account the impact of agricultural income, which is otherwise exempt from tax.

- **Exemption limit**

- The exemption limit refers to the income threshold up to which an individual is not required to pay any tax. For example, the exemption limit for individuals below 60 years is ₹2,50,000.
- Only if the non-agricultural income crosses this limit does the scheme of partial integration apply.

Additional Information

- **Agricultural income**

- Agricultural income refers to income derived from sources like farming, rent from agricultural land, or income from the sale of crops.
- In India, agricultural income is exempt from tax as per Section 10(1) of the Income Tax Act.

- **How partial integration works**

- If the scheme applies, the agricultural income is added to the non-agricultural income to compute the tax liability.
- However, the tax is computed only on non-agricultural income after considering the impact of the agricultural income on the applicable tax slab.

- **Rationale**

- The purpose of the scheme is to prevent taxpayers from exploiting the tax exemption on agricultural income by misclassifying taxable income as agricultural income.
- It ensures fairness in taxation and avoids undue tax advantages.

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Question 3:

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A person by whom any tax or any other sum of money is payable under the Income Tax Act, 1961 is called _____.

1. A citizen

2. A payee

3. An assessee

4. A transactee

Answer (Detailed Solution Below)

Option 3 : An assessee

Income-tax Question 3 Detailed Solution

The correct answer is 'An assessee'

Key Points

- **An assessee:**

- Under the Income Tax Act, 1961, an assessee is a person by whom any tax or any other sum of money is payable.
- An assessee includes individuals, companies, firms, association of persons (AOP), body of individuals (BOI), local authorities, or any other artificial juridical person.
- The term also covers individuals who are assessable under the Act for income earned by others, such as legal heirs, guardians, or representatives.
- An assessee can be categorized as a regular assessee (liable for their own income), a deemed assessee (liable for someone else's income), or an assessee-in-default (failing to comply with tax obligations).

Additional Information

- **Other options and why they are incorrect:**

- **A citizen:**

- A citizen is a legal member of a country, but not all citizens are required to pay taxes under the Income Tax Act.
- Tax liability depends on income and other factors, not just citizenship status.

- **A payee:**

- A payee is a person or entity to whom a payment is made, but this term is unrelated to the obligation of paying taxes under the Income Tax Act.
- The payee is the recipient of funds, not the entity responsible for tax payment.

- **A transactee:**

- A transactee refers to a party involved in a financial transaction, but this term is not used under the Income Tax Act for individuals liable to pay taxes.
- It does not represent the legal or tax-related obligations defined under the Act.

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Question 4:

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How many heads of income are there in computing Gross Total Income?

1. Six

2. Five

3. Three

4. Four

Answer (Detailed Solution Below)

Option 2 : Five

Income-tax Question 4 Detailed Solution

The correct answer is 'Five'



Key Points

- **Heads of Income in Computing Gross Total Income:**

- In India, the Income Tax Act, 1961, classifies income under five heads for the purpose of computing Gross Total Income (GTI).
- The five heads of income are:

- **Income from Salaries:** Includes income earned from employment, such as wages, salary, pensions, and allowances.

salary, pensions, and allowances.

- **Income from House Property:** Income derived from owning house property, which is subject to certain deductions like municipal taxes and standard deduction.
 - **Profits and Gains of Business or Profession:** Income earned from business or professional activities, including freelancers and consultants.
 - **Capital Gains:** Income earned from the transfer of capital assets like property, stocks, or bonds, categorized as short-term or long-term gains.
 - **Income from Other Sources:** Residual category covering income not included in other heads, such as interest, dividends, lottery winnings, or gifts.
- Each head has specific rules for computation, deductions, and exemptions, ensuring accurate and fair taxation.

Additional Information

• Explanation of Incorrect Options:

- **Six:** There are only five heads of income under the Income Tax Act. A sixth head does not exist.
- **Three:** The classification into three heads of income is incorrect and oversimplified, as the Income Tax Act explicitly defines five distinct categories.
- **Four:** While four heads of income might cover some major sources, it excludes one essential head, making the classification incomplete.

• Purpose of Classifying Income:

- The classification of income into these five heads simplifies taxation and ensures that all sources of income are accounted for, preventing tax evasion.
- It also allows for specific deductions and exemptions under each head, making the tax system more equitable and organized.

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Question 5:

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For the purpose of collection of tax, income is classified into _____.

1. Three heads

2. Five heads

3. Four heads

4. Seven heads

Answer (Detailed Solution Below)

Option 2 : Five heads

Income-tax Question 5 Detailed Solution

The correct answer is **Five heads**.

Key Points

- In India, for the purpose of tax collection, income is categorized under **five heads** as per the Income Tax Act, 1961.
- The five heads of income are: **Income from Salary, Income from House Property, Income from Business or Profession, Income from Capital Gains, and Income from Other Sources**.
- This classification ensures systematic computation and taxation of income based on its nature and source.
- Taxpayers must report their income under the appropriate head while filing their income tax returns.
- The classification helps in differentiating tax rates and deductions applicable to each category of income.

Additional Information

- **Income from Salary:**
 - This head includes earnings received by an individual from an employer, such as basic salary, allowances, and bonuses.
 - Deductions such as standard deduction and exemptions like HRA are applicable under this category.
- **Income from House Property:**
 - This head includes rental income earned from property owned by the taxpayer.
 - Deductions like 30% standard deduction and interest on home loans are allowed under this category.
- **Income from Business or Profession:**
 - This head covers income earned from any business or professional activity conducted by the taxpayer.
 - Expenses directly related to business operations can be deducted under this head.
- **Income from Capital Gains:**
 - This head pertains to profits earned from the sale of capital assets like stocks, real estate, or mutual funds.
 - Capital gains are categorized as short-term or long-term, with different tax rates applicable to each.
- **Income from Other Sources:**
 - This head includes residual income such as interest from savings accounts, dividends, lottery winnings, etc.
 - Deductions such as interest on savings account (up to ₹10,000) under Section 80TTA are applicable.

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Question 6

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As per the new tax regime of India, what is the exemption limit of income tax for financial year 2022-23?

1. Up to ₹5,00,000
2. Up to ₹1,00,000
3. Up to ₹7,50,000
4. Up to ₹2,50,000

Answer (Detailed Solution Below)

Option 4 : Up to ₹2,50,000

Income-tax Question 6 Detailed Solution

The correct answer is **Up to ₹2,50,000**

Key Points

Rates of Income Tax under the old regime:

Total Income	Tax rate
Up to ₹ 2,50,000	Nil
From ₹ 2,50,001 to ₹ 5,00,000	5%
From ₹ 5,00,001 to ₹ 10,00,000	20%
Above ₹ 10,00,000	30%

Additional Information

The tax rates under the New Tax Regime as per section 115BAC are as under:

Total Income	Income Tax
Upto ₹ 2,50,000	Nil
From ₹ 2,50,001 to ₹ 5,00,000	5%
From ₹ 5,00,001 to ₹ 7,50,000	10%
From ₹ 7,50,001 to ₹ 10,00,000	15%
From ₹ 10,00,001 to ₹ 12,50,000	20%
From ₹ 12,50,001 to ₹ 15,00,000	25%
Above ₹ 15,00,000	30%

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Question 7

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Which among the following is a Progressive Tax?

1. Customs duty
2. Development Surcharge
3. Sales tax
4. Income tax

Answer (Detailed Solution Below)

Option 4 : Income tax

Income-tax Question 7 Detailed Solution

The correct answer is the **Income-tax**.

- A progressive tax is directly related to the taxpayer's ability to pay.

- Every year, we have to pay a fixed portion of our income to the central government in the form of income tax.

Key Points

- As per the rule of the central government for **Income tax**, a **certain tax is applicable** on the income of all people as per slab.
- Every business and person is supposed to pay the tax and the return is to be **submitted every year**.
- Total funds collected **through tax** are used by the **government for services as well as to fulfill the requirements for the country's development**.

Additional Information

- The **Central Board of Direct Taxes** is a statutory authority functioning under the **Central Board of Revenue Act, 1963**.
- The officials of the Board in their ex-officio capacity also function as a **Division of the Ministry** dealing with matters relating to levy and collection of direct taxes.

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Question 8

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Identify the indirect taxes from the given options.

1. GST, corporate tax
2. Custom duty, corporate tax
3. Income tax, GST
4. GST, custom duty

Answer (Detailed Solution Below)

Option 4 : GST, custom duty

Income-tax Question 8 Detailed Solution

The correct answer is '**GST, custom duty**'

Key Points

Let's have a look at all options:

Tax	Type
GST	Indirect
Corporate Tax	Direct Tax
Custom Duty	Indirect Tax
Income Tax	Direct Tax

From the above table, we can see that only **option 4** is **correct**.

Thus, the correct answer is **GST, custom duty**.

Additional Information

- Indirect Tax:
 - Indirect tax is an indirect tax collected by a **single entity** in the supply chain (usually a producer or retailer) and paid to the **government** but passed on to **consumers** as part of the purchase price of the goods or services.
 - Ultimately, it is the consumer who pays the tax by way of **overpaying** for the product.
- Direct Tax:
 - Direct tax is a tax that a person or organization **pays directly** to the entity that has levied it.
 - A particular taxpayer pays direct tax to the **government** for various purposes.
 - There are also types of indirect tax such as **sales tax**, where the tax is levied on the seller but is paid by the buyer.

Hint

- Trick to remember Direct Taxes:

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- **We** - Wealth Tax
- **pro** - Property Tax
- **co** - Corporate Tax
- **in** - Income Tax

- *Trick to remember Indirect Taxes*

EXCUSE ME

- **EX** - Excise Duty
- **CU** - Custom Duty
- **SE** - Service Tax
- **M** - Market Tax/ VAT
- **E** - Entertainment Tax

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Question 9

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_____ is a progressive tax.

1. Custom duty
2. Sales tax
3. Income tax
4. Development Surcharge

Answer (Detailed Solution Below)

Option 3 : Income tax

Income-tax Question 9 Detailed Solution

The correct answer is the **Income-tax**.

- A **progressive tax is directly related** to the taxpayer's ability to pay.
- Every year, we have to pay a fixed portion of our income to the central government in the form of income tax.

Key Points

- As per the rule of the central government for **Income tax**, a **certain tax is applicable** on the income of all people as per slab.
- Every business and person is supposed to pay the tax and the return is to be **submitted every year**.
- Total funds collected **through tax** are used by the **government for services as well as to fulfill the requirements for the country's development**.

 Additional Information

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- The **Central Board of Direct Taxes** is a statutory authority functioning under the **Central Board of Revenue Act, 1963**.
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Question 10

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Which of the following is a tax-free perquisite?

1. Training by employer
2. Dearness Allowance
3. Overtime Allowance
4. Lunch Allowance

Answer (Detailed Solution Below)

Option 1 : Training by employer

Income-tax Question 10 Detailed Solution

The correct answer is **Training by employer**.

Key Points

- Any expenditure incurred by the employer, for **providing training** to the employees or by way of payment of fees or refresher courses attended by the employees shall be **tax-free**.
- The amount given by the employer to employees' children as a **scholarship** is a **tax-free perquisite**.
- Tax paid by the employer on **non-monetary perquisites** of the employee shall be exempt in

the hands of the employee.

Additional Information

• What are Perquisites?

- In addition to the cash component of salary, the employees are also given non-cash benefits by the employer. These non-cash benefits are generally known as '**Perquisites**'.
- Perquisites provided by the employer to an employee are subject to tax under the head "**Income under head Salary**".
- But not all the **perquisites** are **taxable**, some perquisites are specifically exempted from income tax.

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Question 11

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Which one of the following is not a tax saving investment?

1. Home loan principal repayment
2. Public Provident Fund (PPF)
3. Life insurance premium
4. Fixed Deposits

Answer (Detailed Solution Below)

Option 4 : Fixed Deposits

Income-tax Question 11 Detailed Solution

The Correct Answer is **Fixed Deposit (FD)**.

Key Points

- **Interest income from Fixed Deposits is fully taxable.**
- This Tax is Deducted at source by the bank at the time they credit the interest to the account, and not when the FD matures.
- Suppose a person has an FD for 3 years – banks shall deduct TDS at the end of each year.

Additional Information

Home loan principal repayment:

- Under Section 80C of the Indian Income Tax Act, the principal component of a home loan repaid during a financial year is eligible for tax deduction.
- This deduction can be claimed up to a limit of ₹1.5 lakh. However, other conditions like possession and completion of property need to be met.

Public Provident Fund (PPF)

- The **Public Provident Fund** is a savings-cum-tax-saving instrument in India, introduced by the National Savings Institute of the Ministry of Finance in 1968.
- A minimum yearly deposit of Rs. 500 is required to open and maintain a PPF account.
- It is a savings-cum-tax-saving instrument in India.
- The maximum amount that can be deposited in a financial year is Rs.1.5 lakh.
- It is a 15-year scheme, which can be extended indefinitely in block of 5 years.

Insurance Premium:

- An **insurance premium is the amount of money** an individual or business pays for an insurance policy. Insurance premiums are paid for policies that cover healthcare, auto, home, and life insurance.
- The life insurance premium should be classified as unearned revenue because against this amount still the company has to render service.
- Actually, the insurance company will treat each year pro-rata amount of premium received as income.

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In the Income Tax Act, ____ is a certificate which an employer gives to his employees. It certifies the amount of tax deducted by the employer from the salary of the employee.

1. Form 16
2. Form12
3. Form 15
4. Form 26AS

Answer (Detailed Solution Below)

Option 1 : Form 16

Income-tax Question 12 Detailed Solution

The correct answer is **Form 16**.

Key Points

In the Income Tax Act, **Form 16** is a certificate which an employer gives to his employees. It certifies the amount of tax deducted by the employer from the salary of the employee.

Important Points

What is form 16?

- **Form 16** is the salary **TDS certificate**.
- If your income from salary for the financial year is more than the **basic exemption limit of Rs 2,50,000** your employer is required, by the **Income Tax Act**, to deduct TDS on your salary and deposit it with the government.

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Question 13

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Section 80GGC of Income tax is:

1. Deduction in respect of contribution given by any person to political parties
2. Deduction in respect of contribution given by any company to political parties
3. Deduction in respect of certain donation for scientific research
4. Deduction in respect of rent paid

Answer (Detailed Solution Below)

Option 1 : Deduction in respect of contribution given by any person to political parties

Income-tax Question 13 Detailed Solution

The correct answer is **Deduction in respect of contribution given by any person to political parties**

Key Points

Section 80GGC:

- The section 80GGC of the Income Tax Act allows the deductions from the total income of an individual taxpayer for his/her **contributions made towards electoral trust or political party**
- Any individual taxpayer can claim deduction under section 80GGC.
- The artificial judicial person or local authority is not eligible to claim the deductions under this section.
- Contributions that qualify for the deductions, u/s 80GGC should be from the bank through cheque, internet banking, demand draft, debit/credit card, wire transfer.
- The contributions that an individual makes towards any political party or electoral commission in cash are not eligible for the deductions of Section 80GGC.
- **Individuals who make donations to any political party can claim deductions of up to 100 per cent of their contribution to said party.**

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Question 14

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Which of the following terminology are **NOT** related to income tax?

1. Tax Deduction and Collection Account Number (TAN)
2. Leave Travel Allowance (LTA)
3. Dearness Allowance (DA)
4. Taxpayer Identification Number (TIN)

Answer (Detailed Solution Below)

Option 4 : Taxpayer Identification Number (TIN)

Income-tax Question 14 Detailed Solution

The correct answer is **Taxpayer Identification Number(TIN)**.

Key Points

- **Taxpayer Identification Number** is a number issued to individuals and organizations to **track tax obligations** and **payments they make to the Internal Revenue Service (IRS)**.
- **TIN is issued by the federal government.**
- **TAN** is to be **obtained by all persons who are responsible for deducting tax at source (TDS) or who are required to collect tax at source (TCS).**
- **Leave Travel Allowance (LTA)** is an **exemption** for allowance/assistance received by the employee from his employer for **travelling on leave.**
- **Dearness Allowance** is **paid by the government** to its **employees** as well as a **pensioner** to offset the impact of **inflation.**

Additional Information

- **Generally, Dearness Allowance** is **revised** by the Government **twice a year.**
- **The TIN number** is **generally** used in the **Stock Market.**
- **TAN** number is a **10 digit number.**
- **PAN** stands for **Permanent Account Number.**
- **PAN** number is also a **10 digit unique number.**

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Question 15

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Which of the following does NOT come under the purview of 'paper taxes'?

1. Gift tax
2. Estate duty
3. Excise tax
4. Wealth tax

Answer (Detailed Solution Below)

Option 3 : Excise tax

Income-tax Question 15 Detailed Solution

The correct answer is **Excise tax**.

★ Important Points

- Tax which carry their significance only on paper and have no significance in terms of revenue yield are called **paper taxes**.
- Taxes like Gift tax, Estate duty, Wealth tax are paper taxes.
- **Excise duty** is a form of tax imposed on goods for their production, licensing, and sale.
 - It is an indirect tax.
- **Wealth tax:**
 - Levied on **accumulated wealth or property of every individual**.
 - The tax was abolished in the 2016 budget.
- **Estate duty:**
 - It was **imposed on the estate of a person** which was **inherited by him**.
 - The rate ranged **from 4 to 40% of the value of the estate**.
 - It was imposed and collected by the central government but proceeds were passed on to

states.

- It was abolished in March 1985 as the yield was too low.

- **Gift tax:**

- Imposed in April 1958.
- Charged and collected every financial year on gifts received during the previous year.
- Again abolished in 1998 due to low yield.

- **Hence, Excise tax is the correct answer.**